

PATIALA PUNJAB



Growth engine:
**Infrastructure,
education, agriculture**

Town population:
5,00,000

Gurjit Singh Mansahia, 62, cultivates 70 acres for horticulture and forestry, netting an annual profit of Rs 15,000 per acre. He has three cars, including a Skoda.

“The development of infrastructure, including the proposed 1,200 MW power plant and a world-class bus terminal, has raised Patiala’s profile.”



SANJAY KUMAR

driving incremental growth in basic durables, automobiles, mobile phones and FMCG. Thanks to growth in both rural and urban incomes, district towns have emerged as hot spots. In fact, according to the RKSWMY/BBDO study, 60 district towns of less than five lakh account for a tenth of national consumption. Indeed the top 13 district towns combined could match the consumption of Mumbai and Delhi markets.

You could say that the emergence of these new towns is the result of a serendipitous coming together of factors. The boom in manufacturing, the priming of the rural economy with a spend of over Rs 2,00,000 crore by the Government and investments in new industrial estates and IT enclaves all combined to generate employment and higher incomes in urban and rural economies. This fuelled consumption of goods, services and real estate triggering the virtuous cycle.

Evidence of the coming together is reflected in the transformation of the towns: take Kolhapur, for instance. Nestled in a fertile valley fed by four rivers, it has always been an agri hub with higher-than-average income levels. But it is the revival of the textile industry coupled with the opening up of textile and IT parks that has created economic viability. Erode, a small town in west Tamil Nadu, is abuzz with activity every Monday evening as people from as far as Jammu in the north, Assam in the east and Gujarat in the west descend for the weekly Monday Market, which winds up only by Tuesday dawn. Yarn, processed and cotton fabric are sold and bought from this market. “Nearly 70 per cent



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